

Total domination

A different form of unfairness comes from a lack of competition in a market. A monopoly, when there is only one seller of a certain good, means that the buyer has no choice at all and is forced to pay whatever price the seller asks. Even if there are several suppliers of that good, they can join together in a group known as a cartel and agree not to compete on prices. Buyers then have to pay more than they would like, and the sellers can make an unfair profit at their expense.

Who will pay?

But not all market failures are so obvious. Both buyer and seller may be satisfied with their transaction, but at the expense of somebody else. When a transaction results in cost or harm to people who aren't involved in it, it's known as "an externality." If, for example, you buy an electric guitar and amplifier, you may be happy with the deal, and the store you bought it from has made a profit. But your family, and the neighbors, may suffer from the noise you're going to make. On a larger scale, businesses can produce the goods that consumers demand, and they may both benefit from this, but the pollution from the company's factory has to be cleaned up, generally at the public expense. There is a further kind of market failure that involves public expense. There are some goods that it is difficult to prevent people from using for free. If you put on a firework display, for instance, the show will be in the sky where everyone can see it. It may be difficult to ask all the people who enjoy the fireworks to buy tickets for the event, so it is hard to get back the money spent buying the fireworks. This problem is called "free-riding" and it means that public goods such as street lighting, roads, and lighthouses are provided by governments rather than commercial enterprises.